

Industrial Outlook Survey of the Manufacturing Sector for Q4:2025-26

Today, the Reserve Bank released the results of 113th round of its quarterly industrial outlook survey (IOS). The survey¹ encapsulates qualitative assessment of the business climate by Indian manufacturing companies for Q4:2025-26 and their expectations for Q1:2026-27 as well as outlook on select parameters for the subsequent two quarters. A total of 1,256 companies responded in this round of the survey² conducted during January-March 2026.

Highlights:

A. Assessment for Q4:2025-26

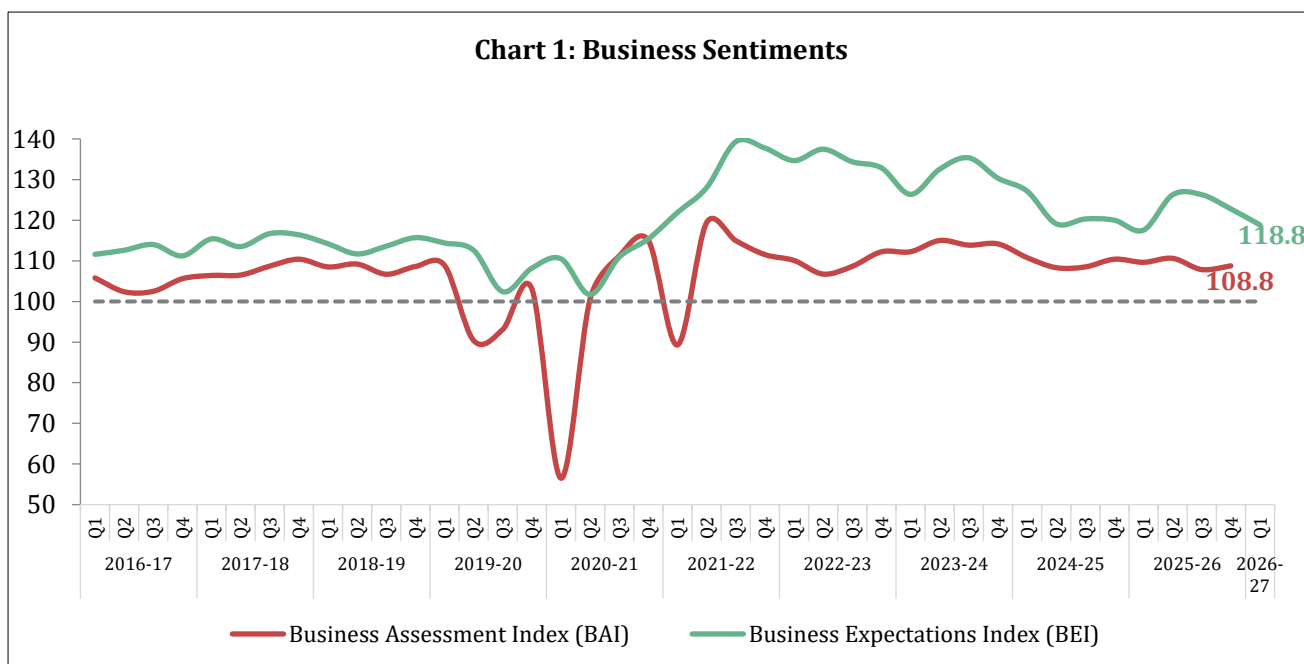
- Manufacturers' optimism on demand conditions moderated compared to the previous quarter, with weaker sentiments on production and exports amid the West Asia conflict (Table A).
- Manufacturing firms reported increased cost pressures and some rise in selling prices with pressure on profit margins.
- Overall, the Business assessment index remained stable in Q4:2025-26 (Chart 1).

B. Expectations for Q1:2026-27

- Manufacturing firms expect demand conditions to soften as reflected in their lower optimism regarding production, order books and capacity utilisation.
- Cost pressures are anticipated to remain elevated, with a partial pass-through onto consumers, while profit margins are likely to remain under strain.
- The Business expectations index remained in expansion terrain at 118.8 in Q1:2026-27, though it moderated from its level of 122.8 in Q4:2025-26 (Chart 1).

¹ The survey results reflect the respondents' views, which are not necessarily shared by the Reserve Bank.

² Results of the previous survey round were released on the Bank's website on [February 06, 2026](#).



C. Expectations for Q2:2026-27 and Q3:2026-27

- Going forward, manufacturing firms expect demand conditions to improve during Q2 and Q3:2026-27 (Table B).
- Input cost pressures are likely to persist, but the firms are optimistic about selling prices.

D. Results of Pulse Survey³

In view of the heightened uncertainty due to disruptions caused by West Asia conflict, a pulse survey was conducted on manufacturing firms seeking their assessment of the situation. In response, majority of the firms reported that the conflict has affected their business operations through supply chain disruptions, higher energy, input costs and decline in export orders.

³ The survey was conducted during March 05-18, 2026, in which 465 manufacturing firms responded.

Table A: Summary of Net responses⁴ on Survey Parameters

(per cent)

Parameters	Assessment period		Expectation period	
	Q3:2025-26*	Q4:2025-26	Q4:2025-26*	Q1:2026-27
Production	21.7	18.3	44.6	38.2
Order Books	19.5	19.2	43.7	38.1
Pending Orders	12.1	9.9	1.7	2.1
Capacity Utilisation	16.1	16.9	38.4	32.3
Inventory of Raw Materials	-1.9	-2.1	-8.2	-9.4
Inventory of Finished Goods	-0.9	-1.3	-7.5	-7.7
Exports	4.8	1.6	27.8	19.7
Imports	8.5	6.9	24.5	20.5
Employment	7.6	10.8	17.2	17.1
Financial Situation (Overall)	21.2	23.3	41.8	41.0
Availability of Finance (from internal accruals)	21.4	24.2	36.0	32.9
Availability of Finance (from banks & other sources)	17.2	17.1	26.7	22.7
Availability of Finance (from overseas, if applicable)	4.7	6.9	17.2	15.0
Cost of Raw Material	-42.3	-53.7	-42.2	-50.9
Cost of Finance	-5.2	-8.3	-16.2	-16.9
Salary/ Other Remuneration	-15.0	-17.7	-20.9	-37.6
Selling Price	-1.6	5.8	13.5	16.3
Profit Margin	-9.4	-8.6	12.4	9.0
Overall Business Situation	22.9	21.9	46.4	41.1

*: Based on the previous round's response.

Table B: Business Expectations on Select Parameters for extended period – Net response

(per cent)

Parameters	Round 112	Round 113		
	Q4:2025-26	Q1:2026-27	Q2:2026-27	Q3:2026-27
Overall Business Situation	46.4	41.1	47.8	50.1
Production	44.6	38.2	47.0	49.3
Order Books	43.7	38.1	45.4	46.6
Capacity Utilisation	38.4	32.3	45.0	44.8
Employment	17.2	17.1	22.8	22.4
Cost of Raw Materials	-42.2	-50.9	-50.7	-48.3
Selling Prices	13.5	16.3	21.6	21.4

Note: [Please see the excel file for time series data](#)

⁴ Net Response (NR) is the difference between the percentage of respondents reporting optimism and those reporting pessimism. It ranges between -100 to 100. Any value greater than zero indicates expansion/optimism and any value less than zero indicates contraction/pessimism. In other words, $NR = (I - D)$, where I is the percentage response of 'Increase/optimism', and D is the percentage response of 'Decrease/pessimism' and E is the percentage response as 'no change/equal' (i.e., $I+D+E=100$). For example, increase in production is optimism whereas decrease in cost of raw material is optimism.

Table 1: Assessment and Expectations for Production

(Percentage responses)@

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	40.9	13.0	46.1	27.9	42.8	4.2	52.9	38.6
Q1:2025-26	33.6	12.1	54.3	21.4	41.4	4.6	54.0	36.9
Q2:2025-26	30.1	12.3	57.6	17.9	56.8	3.6	39.6	53.3
Q3:2025-26	37.7	15.9	46.4	21.7	50.5	2.6	47.0	47.9
Q4:2025-26	36.0	17.7	46.3	18.3	48.9	4.3	46.8	44.6
Q1:2026-27					45.6	7.4	47.1	38.2

'Increase' in production is optimistic.

@:Due to rounding off Percentage may not add up to 100.

Table 2: Assessment and Expectations for Order Books

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	38.2	13.8	48.0	24.4	41.6	4.7	53.7	36.8
Q1:2025-26	32.3	12.4	55.3	19.9	40.7	5.1	54.2	35.6
Q2:2025-26	27.9	13.1	59.0	14.8	56.1	3.9	40.0	52.1
Q3:2025-26	36.2	16.7	47.1	19.5	48.5	2.8	48.7	45.7
Q4:2025-26	36.1	16.9	47.0	19.2	48.1	4.4	47.5	43.7
Q1:2026-27					45.6	7.5	46.9	38.1

'Increase' in order books is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 3: Assessment and Expectations for Pending Orders

(Percentage responses)

Quarter	Assessment				Expectations			
	Above Normal	Below Normal	Normal	Net response	Above Normal	Below Normal	Normal	Net response
Q4:2024-25	4.9	11.1	84.0	6.2	4.5	11.6	83.9	7.1
Q1:2025-26	4.4	16.8	78.8	12.3	4.3	6.8	88.9	2.5
Q2:2025-26	3.4	17.0	79.6	13.5	3.5	5.2	91.4	1.7
Q3:2025-26	4.3	16.4	79.2	12.1	3.6	3.8	92.6	0.2
Q4:2025-26	4.9	14.8	80.2	9.9	3.8	5.5	90.7	1.7
Q1:2026-27					4.2	6.3	89.4	2.1

Pending orders 'Below Normal' is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 4: Assessment and Expectations for Capacity Utilisation (Main Product)

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	29.1	10.3	60.6	18.7	36.2	4.1	59.6	32.1
Q1:2025-26	27.4	11.4	61.2	16.0	35.4	4.4	60.1	31.0
Q2:2025-26	23.3	9.1	67.6	14.2	49.0	5.1	45.9	43.8
Q3:2025-26	29.0	12.9	58.1	16.1	45.8	2.5	51.7	43.3
Q4:2025-26	30.4	13.5	56.1	16.9	42.1	3.7	54.2	38.4
Q1:2026-27					38.8	6.5	54.7	32.3

'Increase' in capacity utilisation is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 5: Level of capacity utilisation (compared to the average in preceding 4 quarters)

(Percentage responses)

Quarter	Assessment				Expectations			
	Above Normal	Below Normal	Normal	Net response	Above Normal	Below Normal	Normal	Net response
Q4:2024-25	10.9	8.5	80.6	2.3	12.5	4.4	83.0	8.1
Q1:2025-26	18.2	14.0	67.8	4.2	9.7	4.6	85.6	5.1
Q2:2025-26	20.1	14.3	65.6	5.8	18.8	5.1	76.1	13.7
Q3:2025-26	12.2	17.7	70.1	-5.5	19.2	3.5	77.3	15.7
Q4:2025-26	16.5	15.7	67.8	0.8	12.0	5.5	82.5	6.5
Q1:2026-27					15.4	6.5	78.1	9.0

‘Above Normal’ in Level of capacity utilisation is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 6: Assessment and Expectations for Assessment of Production Capacity (with regard to expected demand in next 6 months)

(Percentage responses)

Quarter	Assessment				Expectations			
	More than adequate	Less than adequate	Adequate	Net response	More than adequate	Less than adequate	Adequate	Net response
Q4:2024-25	9.1	2.4	88.5	6.7	11.1	2.8	86.1	8.3
Q1:2025-26	9.0	10.2	80.8	-1.1	12.1	1.7	86.2	10.4
Q2:2025-26	8.5	10.8	80.7	-2.3	18.6	2.7	78.8	15.9
Q3:2025-26	10.1	10.4	79.4	-0.3	18.7	2.8	78.4	15.9
Q4:2025-26	12.6	10.2	77.2	2.3	14.5	4.4	81.1	10.1
Q1:2026-27					17.4	4.7	77.9	12.7

‘More than adequate’ in Assessment of Production Capacity is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 7: Assessment and Expectations for Exports

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	23.0	9.5	67.6	13.5	29.2	4.9	65.9	24.2
Q1:2025-26	22.5	11.6	65.9	10.9	23.4	5.0	71.6	18.4
Q2:2025-26	21.8	11.8	66.5	10.0	38.8	4.0	57.2	34.7
Q3:2025-26	22.3	17.5	60.3	4.8	42.2	4.5	53.3	37.7
Q4:2025-26	20.0	18.4	61.6	1.6	35.1	7.4	57.5	27.8
Q1:2026-27					30.9	11.2	57.9	19.7

‘Increase’ in exports is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 8: Assessment and Expectations for Imports

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	19.0	6.8	74.3	12.3	26.6	2.7	70.7	23.9
Q1:2025-26	18.4	7.7	73.9	10.7	19.4	3.3	77.2	16.1
Q2:2025-26	18.9	7.0	74.1	12.0	36.2	3.0	60.8	33.2
Q3:2025-26	19.1	10.6	70.3	8.5	38.8	2.5	58.7	36.2
Q4:2025-26	18.2	11.3	70.5	6.9	29.9	5.4	64.7	24.5
Q1:2026-27					26.8	6.4	66.8	20.5

‘Increase’ in imports is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 9: Assessment and Expectations for level of Raw Materials Inventory

(Percentage responses)

Quarter	Assessment				Expectations			
	Above average	Below average	average	Net response	Above average	Below average	average	Net response
Q4:2024-25	11.3	4.9	83.8	-6.4	9.8	2.3	88.0	-7.5
Q1:2025-26	7.9	10.9	81.2	3.0	11.0	2.3	86.7	-8.7
Q2:2025-26	9.6	11.1	79.3	1.5	14.9	2.9	82.2	-12.1
Q3:2025-26	12.0	10.1	77.9	-1.9	16.7	1.3	82.0	-15.5
Q4:2025-26	13.4	11.3	75.3	-2.1	10.5	2.3	87.2	-8.2
Q1:2026-27					12.5	3.1	84.4	-9.4

'Below average' Inventory of raw materials is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 10: Assessment and Expectations for level of Finished Goods Inventory

(Percentage responses)

Quarter	Assessment				Expectations			
	Above average	Below average	average	Net response	Above average	Below average	average	Net response
Q4:2024-25	12.6	4.7	82.7	-7.9	11.1	2.2	86.8	-8.9
Q1:2025-26	8.5	11.1	80.4	2.6	10.9	1.7	87.4	-9.1
Q2:2025-26	10.7	11.1	78.2	0.5	15.3	2.9	81.8	-12.5
Q3:2025-26	12.1	11.1	76.8	-0.9	17.5	1.7	80.8	-15.7
Q4:2025-26	13.3	12.0	74.8	-1.3	10.3	2.8	86.9	-7.5
Q1:2026-27					11.3	3.6	85.1	-7.7

'Below average' Inventory of finished goods is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 11: Assessment and Expectations for Employment Outlook

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	17.4	5.4	77.2	12.0	18.0	1.2	80.8	16.7
Q1:2025-26	16.8	6.3	76.9	10.6	14.6	1.7	83.7	12.9
Q2:2025-26	15.8	7.8	76.4	8.0	25.4	1.8	72.8	23.7
Q3:2025-26	16.1	8.5	75.5	7.6	26.2	1.0	72.8	25.2
Q4:2025-26	17.6	6.8	75.6	10.8	19.5	2.3	78.2	17.2
Q1:2026-27					20.7	3.5	75.8	17.1

'Increase' in employment is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 12: Assessment and Expectations for Overall Financial Situation

(Percentage responses)

Quarter	Assessment				Expectations			
	Better	Worsen	No change	Net response	Better	Worsen	No change	Net response
Q4:2024-25	37.0	10.1	52.9	27.0	44.8	3.0	52.2	41.9
Q1:2025-26	31.8	10.8	57.4	21.0	39.0	2.6	58.4	36.3
Q2:2025-26	28.8	11.3	59.8	17.5	57.0	3.0	40.0	53.9
Q3:2025-26	34.3	13.1	52.7	21.2	49.8	1.9	48.3	47.9
Q4:2025-26	35.7	12.4	51.9	23.3	45.0	3.2	51.8	41.8
Q1:2026-27					45.5	4.4	50.1	41.0

'Better' overall financial situation is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 13: Assessment and Expectations for Working Capital Finance Requirement

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	24.3	5.1	70.6	19.2	30.9	2.3	66.8	28.6
Q1:2025-26	21.0	4.5	74.5	16.4	25.5	2.7	71.8	22.9
Q2:2025-26	19.7	5.8	74.5	13.9	33.4	1.9	64.6	31.5
Q3:2025-26	22.8	5.0	72.2	17.8	34.1	1.5	64.4	32.6
Q4:2025-26	20.6	4.8	74.6	15.8	26.4	1.7	71.9	24.7
Q1:2026-27					22.6	2.8	74.6	19.9

'Increase' in working capital finance is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 14: Assessment and Expectations for Availability of Finance (from Internal Accruals)

(Percentage responses)

Quarter	Assessment				Expectations			
	Improve	Worsen	No change	Net response	Improve	Worsen	No change	Net response
Q4:2024-25	27.8	5.5	66.6	22.3	35.8	1.3	62.9	34.6
Q1:2025-26	25.5	5.4	69.1	20.1	31.7	1.3	67.0	30.4
Q2:2025-26	21.0	5.3	73.7	15.7	47.8	1.3	50.8	46.5
Q3:2025-26	26.9	5.6	67.5	21.4	40.1	0.8	59.0	39.3
Q4:2025-26	29.7	5.5	64.8	24.2	37.5	1.5	61.0	36.0
Q1:2026-27					36.0	3.1	60.9	32.9

'Improvement' in availability of finance is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 15: Assessment and Expectations for Availability of Finance (from banks and other sources)

(Percentage responses)

Quarter	Assessment				Expectations			
	Improve	Worsen	No change	Net response	Improve	Worsen	No change	Net response
Q4:2024-25	19.8	4.7	75.5	15.1	27.9	0.8	71.3	27.1
Q1:2025-26	20.3	3.9	75.8	16.4	23.0	1.3	75.7	21.7
Q2:2025-26	16.4	4.9	78.8	11.5	41.2	0.5	58.3	40.7
Q3:2025-26	21.8	4.5	73.7	17.2	35.4	0.6	64.1	34.8
Q4:2025-26	20.6	3.5	75.9	17.1	27.9	1.2	70.8	26.7
Q1:2026-27					25.0	2.3	72.7	22.7

'Improvement' in availability of finance is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 16: Assessment and Expectations for Availability of Finance (from overseas, if applicable)

(Percentage responses)

Quarter	Assessment				Expectations			
	Improve	Worsen	No change	Net response	Improve	Worsen	No change	Net response
Q4:2024-25	8.5	4.7	86.8	3.8	19.0	1.0	79.9	18.0
Q1:2025-26	11.6	3.9	84.5	7.6	10.7	1.0	88.3	9.7
Q2:2025-26	11.7	5.5	82.9	6.2	32.9	0.5	66.5	32.4
Q3:2025-26	9.7	4.9	85.4	4.7	29.5	0.7	69.8	28.8
Q4:2025-26	11.0	4.0	85.0	6.9	18.2	1.0	80.7	17.2
Q1:2026-27					16.8	1.8	81.4	15.0

'Improvement' in availability of finance is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 17: Assessment and Expectations for Cost of Finance

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	14.3	3.6	82.1	-10.8	21.8	1.9	76.3	-19.9
Q1:2025-26	16.5	9.2	74.3	-7.2	15.5	2.7	81.8	-12.8
Q2:2025-26	14.5	8.4	77.1	-6.1	26.1	13.6	60.2	-12.5
Q3:2025-26	13.0	7.8	79.2	-5.2	30.2	2.3	67.4	-27.9
Q4:2025-26	15.8	7.6	76.6	-8.3	20.1	3.9	76.0	-16.2
Q1:2026-27					20.9	4.0	75.1	-16.9

'Decrease' in cost of finance is optimistic. Footnote '@' given in Table 1 is applicable here. The column heads, namely 'Increase' and 'Decrease' in data releases for rounds 82-87 were interchanged and should be read as above.

Table 18: Assessment and Expectations for Cost of Raw Materials

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	50.7	3.5	45.8	-47.2	51.7	2.5	45.8	-49.2
Q1:2025-26	50.8	4.2	44.9	-46.6	41.6	1.6	56.8	-40.1
Q2:2025-26	42.1	4.1	53.8	-38.1	56.2	1.2	42.6	-54.9
Q3:2025-26	47.6	5.3	47.1	-42.3	46.6	1.0	52.4	-45.6
Q4:2025-26	56.5	2.8	40.7	-53.7	43.9	1.7	54.4	-42.2
Q1:2026-27					52.6	1.7	45.7	-50.9

'Decrease' in cost of raw materials is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 19: Assessment and Expectations for Salary/Other Remuneration

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	19.2	1.2	79.6	-18.0	23.4	0.4	76.3	-23.0
Q1:2025-26	29.3	2.2	68.5	-27.1	37.7	0.9	61.5	-36.8
Q2:2025-26	15.9	3.2	80.9	-12.7	32.1	0.5	67.3	-31.6
Q3:2025-26	17.9	2.8	79.3	-15.0	30.7	0.7	68.6	-29.9
Q4:2025-26	19.1	1.4	79.5	-17.7	22.2	1.3	76.5	-20.9
Q1:2026-27					38.5	0.9	60.5	-37.6

'Decrease' in Salary / other remuneration is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 20: Assessment and Expectations for Selling Price

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	14.1	9.6	76.3	4.4	19.0	3.9	77.0	15.1
Q1:2025-26	15.7	8.8	75.5	6.8	15.7	3.2	81.2	12.5
Q2:2025-26	13.2	10.8	76.0	2.4	26.4	2.6	71.1	23.8
Q3:2025-26	13.2	14.8	72.0	-1.6	26.7	2.6	70.7	24.1
Q4:2025-26	15.6	9.9	74.5	5.8	17.8	4.3	77.9	13.5
Q1:2026-27					19.8	3.6	76.6	16.3

'Increase' in selling price is optimistic. Footnote '@' given in Table 1 is applicable here.

Table 21: Assessment and Expectations for Profit Margin

(Percentage responses)

Quarter	Assessment				Expectations			
	Increase	Decrease	No change	Net response	Increase	Decrease	No change	Net response
Q4:2024-25	10.8	20.3	69.0	-9.5	19.0	7.3	73.7	11.7
Q1:2025-26	12.0	17.0	70.9	-5.0	14.5	7.5	78.0	7.0
Q2:2025-26	11.9	18.3	69.8	-6.4	26.2	6.2	67.6	20.1
Q3:2025-26	12.6	22.0	65.4	-9.4	28.9	4.3	66.9	24.6
Q4:2025-26	13.5	22.2	64.3	-8.6	19.8	7.3	72.9	12.4
Q1:2026-27					19.4	10.4	70.2	9.0

‘Increase’ in profit margin is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 22: Assessment and Expectations for Overall Business Situation

(Percentage responses)

Quarter	Assessment				Expectations			
	Better	Worsen	No change	Net response	Better	Worsen	No change	Net response
Q4:2024-25	40.7	12.3	46.9	28.4	48.6	3.1	48.3	45.4
Q1:2025-26	31.7	13.7	54.6	18.0	42.3	3.5	54.3	38.8
Q2:2025-26	29.7	11.7	58.6	18.0	56.7	5.2	38.2	51.5
Q3:2025-26	36.9	14.0	49.1	22.9	51.5	2.2	46.4	49.3
Q4:2025-26	37.0	15.2	47.8	21.9	49.7	3.3	46.9	46.4
Q1:2026-27					47.3	6.2	46.5	41.1

‘Better’ Overall Business Situation is optimistic. Footnote ‘@’ given in Table 1 is applicable here.

Table 23: Business Sentiments⁵

Quarter	Business Assessment Index (BAI)	Business Expectations Index (BEI)
Q4:2024-25	110.4	120.0
Q1:2025-26	109.6	117.5
Q2:2025-26	110.6	126.2
Q3:2025-26	107.8	126.3
Q4:2025-26	108.8	122.8
Q1:2026-27		118.8

⁵ For each survey round, two summary indices are computed – one based on assessment [viz., Business Assessment Index (BAI)] and another based on expectations [viz., Business Expectations Index (BEI)]. Each index is a composite indicator calculated as a simple average of nine business parameters, where each parameter is derived as a weighted net response, weights being the share of industry groups in gross value added (GVA). The nine parameters considered are: (1) overall business situation; (2) production; (3) order books; (4) inventory of raw material; (5) inventory of finished goods; (6) profit margins; (7) employment; (8) exports; and (9) capacity utilisation. BAI/BEI gives a snapshot of the business outlook in every quarter and takes values between 0 and 200, with 100 being the threshold separating expansion from contraction.